GMS WEEKLY

Your Source for Recycling News

January 21st, 2022
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Week 3

Highlights:

- **Static week.**
- **Alang roars.**
- **Demand ripe.**
- **Steel firm.**
- **Holidays close.**

QUOTE of the WEEK

"Either you run the day or the day runs you."

– *Jim Rohn*

MARKET COMMENTARY

SEEKING SALES!

It has been an increasingly static week in the Indian sub-continent ship recycling markets, especially after some early 2022 optimism displayed by a resurgent India in particular.

Sales on various specialist units soared this past week in Alang – with several stainless-steel chemical tankers, Russian fish factories, and a barge being committed at some extraordinary levels.

Competing markets in both Pakistan and Bangladesh could only sit by and watch, with very few favored large LDT units to work on, and as the holiday season approaches in China and much of the Far East.

Even in Turkey, it remained another relatively stable week, with no material change reported in the severely-depreciated-but-now-stable Lira or even in import / local steel prices.

Overall, demand is certainly ripe across sub-continent locations, but there are still a few vessels needed in the market to satisfy the recent onset of demand, and sub-continent Recyclers usually find themselves competing at above market prices on any of the select units that do become available.

Even steel prices and currencies remain stable-to-positively poised as well, certainly indicating a bullish first quarter of the year (as has historically been the case). Tanker charter rates are still in the doldrums, and it remains to be seen how much longer the ongoing Dry Bulk rally can last.

As such, it is rather peculiar that there is not a greater volume of ongoing negotiations on recycling candidates at the moment. It appears as though most owners will have to wait-and-watch until after the lunar New Year holidays before making any moves and it could well be a slower start to 2022 – especially in terms of sales leading up to mid-February.

For week 3 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Static	590 / LDT	600 / LDT	610 / LDT
2	Pakistan	Static	580 / LDT	590 / LDT	600 / LDT
3	India	Improving	570 / LDT	580 / LDT	590 / LDT
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

BANGLADESH

FEW AND FAR BETWEEN!

Sluggish.

Bangladeshi Buyers have had very few vessels to work on this week, especially as Alang shoots ahead and Pakistan likewise comes back into the picture. Yet, Chattogram Buyers have managed to take deliveries of the most number of units and LDT in the market this week.

Prices have been somewhat softer in Chattogram for the last month or so, and despite steel prices previously firming, they have flatlined of late and it may take a little more time before prices catch up on the ground.

Frustrations.

As such, it has been a somewhat frustrating week for local buyers, who have the capacity and desire to acquire units, but are still to see some viable candidates to really sink their teeth into yet.

NO MARKET SALES REPORTED

INDIA

RUN CONTINUES!

After the sale of two stainless steel tankers and a fish factory last week, this week has been another fantastic one of surging levels on specialist vessels, with two more deals being confirmed to Alang Buyers.

Further sales.

A favoured USSR built fish factory was concluded to local Buyers' as the MOSKOVSKAYA OLIMPIADA (3,916 LDT) managed to fetch an extraordinary USD 755/LT LDT, whilst the Canadian built Barge AHTS KIGORIAK (4,855 LDT) fetched an equally firm USD 760/LT LDT due to the significant amount of valuable and saleable machinery on board, including four generators and three thrusters.

Not comparable.

The Indian Rupee has been trading in the mid Rs. 74 against the U.S. Dollar of late, whilst local steel plate prices have also inched up by about USD 6/LDT over the course of the week.

However, it is not possible to compare the sale of specialist units to more standard Tankers / Bulkers and the saleable machinery, non-ferrous (being USSR built) and favourable size have all contributed to current levels by at least USD 150/LDT above what a standard Bulker or Tanker would be in India today.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
AHTS KIGORIAK	Barge	4,855	USD 745/LT LDT
MOSKOVSKAYA OLIMPIADA	Fish Factory	3,916	USD 755/LT LDT

PAKISTAN

UNDER RADAR!

Creeping up.

Pakistan has been creeping up of late and has also managed to secure a couple of vessels (largely) under the radar and out of the spotlight of its competitors, whilst India has been capturing select and specialist units at some serious show stopping numbers.

Pakistani Buyers remain keen to buy but are still a fraction off of what Bangladeshi Buyers are currently paying.

Keen to secure.

However, if the lack of supply continues, it may only be a matter of time before local Buyers firm up their offerings, in order to ensure they are securing their share of the tonnage.

NO MARKET SALES REPORTED

TURKEY

ANOTHER STEADY ROUND!

After watching the Lira / U.S. Dollar nosedive off the precipice, the recent Turkish market steady dance seems cautiously welcome as despite astronomical vessel prices, the Turkish market seems jittery whilst Aliaga Buyers remain cautious.

Nosedive.

The Lira continues to bounce around the TRY 13.5X mark against the U.S. Dollar as the Central Bank has decided to maintain the interest rate at current levels for the time-being. Even import and local steel plate prices were relatively unchanged during the course of the week.

Overall, it certainly remains quieter in Turkey (from a market tonnage perspective) despite Turkish yards being relatively full and gearing up for later Q1 deliveries.

Q1 delivery.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The platypus doesn't have a stomach at all: Their esophagus goes straight to their intestines.*
- *This is one animal myth that's true: Eating parts of a pufferfish can kill you because, in a defense mechanism to ward off predators, it contains a deadly chemical called tetrodotoxin. There's enough in one pufferfish to kill 30 people—and there's no antidote. Still, pufferfish, called fugu, is a highly-prized delicacy in Japan, but can only be prepared by well-trained chefs.*
- *Polar bears have black skin. And actually, their fur isn't white—it's see-through, so it appears white as it reflects light.*
- *Tigers' skin is actually striped, just like their fur. Also, no two fur patterns are alike.*
- *Flamingoes are only pink because of chemicals called carotenoids in the algae and fish (which also eat the algae) they eat; their feathers are grayish white when they're born.*
- *Mosquitoes are the deadliest animal in the world: They kill more people than any other creature, due to the diseases they carry.*
- *What do Miss Piggy and Yoda have in common? They were both voiced by the same person, puppeteer Frank Oz.*
- *Psycho was the first movie to show a toilet flushing.*
- *The green code in The Matrix was actually created from symbols in the code designer's wife's sushi cookbook.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
January 26 – Republic Day February 05 – Vasant Panchami.	January 29 – February 06 February 15 – February 22 February 28 – March 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
February 21 – Shaheed Day	February 01 – February 04 February 18 – February 21

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
February 01 – 04 – Spring Festival	February 05 – Kashmir Solidarity Day	**No holidays in February.**

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ALANG - Port Position as of January 21, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Bratya Stoyanovy	3,484	Fishing	Arrived December 24
2	Coral	2,763	Chemical Tanker	Arrived December 03
3	*Glorisilver*	*2,182*	*Chemical Tanker*	*Beached January 20*
4	Harriet	2,292	Tanker	Arrived December 09
5	*Mega*	*18,001*	*Oil Tanker*	*Beached January 17*
6	Sea Golden	2,830	Chemical Tanker	Arrived December 03
7	*Tag 8 (Under Tow)*	*2,092*	*Supply Vessel*	*Beached January 21*
8	Yeti	4,603	Oil Tanker	Arrived January 18
Total Tonnage		**38,247**		

CHATTOGRAM - Port Position as of January 21, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Blue Dhir*	*24,370*	*Tanker*	*Beached January 20*
2	*Hodzi*	*7,656*	*RoRo / Cargo*	*Beached January 18*
3	*Ladinda (Under Tow)*	*21,474*	*FSO*	*Beached January 19*
4	Nigata	2,085	Tanker	Arrived January 20
5	Itfa 3	1,278	Reefer	Arrived January 15
6	**Ocean 68**	**2,369**	**General Cargo**	**Arrived November 23**
7	*Ocean Ruby*	*22,450*	*Tanker*	*Beached January 18*
8	*Ri Xin*	*1,989*	*Tanker*	*Beached January 21*
9	Rich Sino	7,301	Tanker	Arrived January 14
10	*St. Leo*	*7,246*	*RoRo*	*Beached January 18*
11	*Win*	*8,749*	*Tanker*	*Beached January 20*
Total Tonnage		**106,967**		

GADANI - Port Position as of January 21, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Atlantic Enterprise**	**4,083.00**	**Accomodation Ship**	**Arrived December 07**
2	*Fair Pigasos*	*3,000.00*	*Tanker*	*Beached January 20*
3	*Fuji*	*9,950.00*	*Passenger*	*Beached January 20*
4	*Lavender*	*6,492.00*	*General Cargo*	*Beached January 16*
5	**Louisa**	**7,798.00**	**Tanker**	**Arrived December 11**
6	*Sothys*	*16,000.00*	*Tanker*	*Beached January 15*
7	*Zhen Hia 19*	*18,863.98*	*Heavy Lift Carrier*	*Beached January 15*
Total Tonnage		**66,187**		

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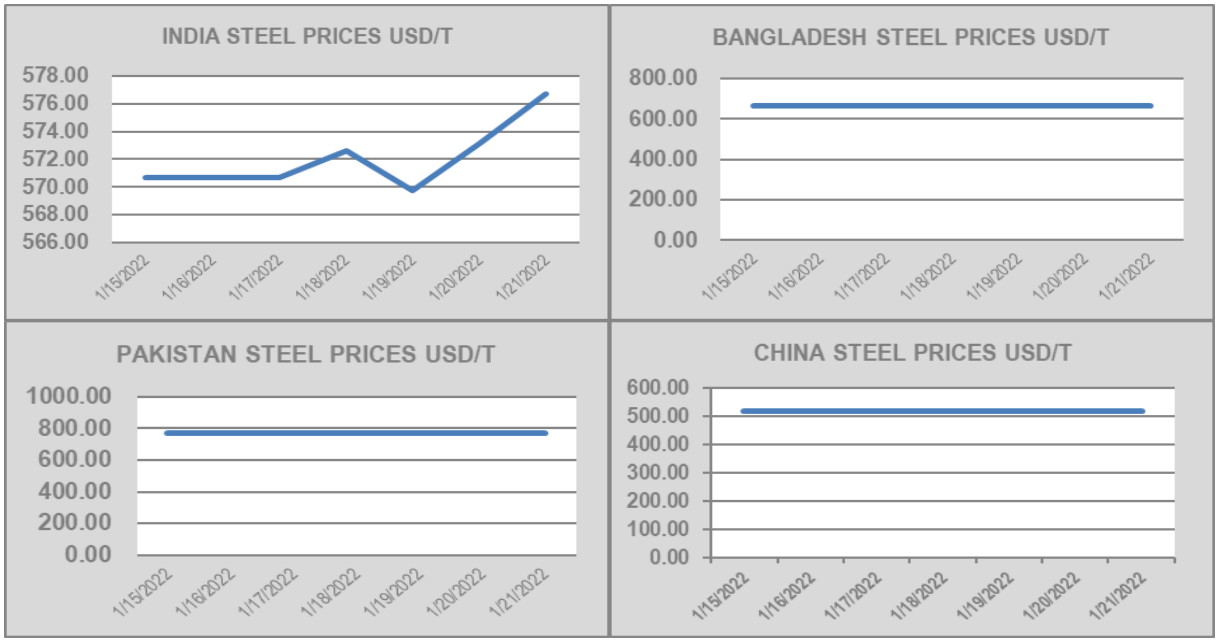
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
1/15/2022	570.66	42,200.00	773.98	138,000.00	666.67	57,000.00	519.03
1/16/2022	570.66	42,200.00	773.98	138,000.00	666.67	57,000.00	519.03
1/17/2022	570.66	42,200.00	773.98	138,000.00	666.67	57,000.00	519.03
1/18/2022	572.62	42,700.00	773.98	138,000.00	666.67	57,000.00	519.03
1/19/2022	569.74	42,400.00	773.98	138,000.00	666.67	57,000.00	519.03
1/20/2022	573.15	42,700.00	773.98	138,000.00	666.67	57,000.00	519.03
1/21/2022	576.72	43,000.00	773.98	138,000.00	666.67	57,000.00	519.03



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